No. 18-0918

IN THE

SUPREME COURT OF THE UNITED STATES

OCTOBER TERM, 2018

In Re Backstreets Plowing, Inc., Debtor,

Steven Vin Sant, Chapter 7 Trustee, Petitioner,

v.

Milton Weinberg, Respondent.

On Writ of Certiorari from the United States Court of Appeals for the Thirteenth Circuit

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BRIEF FOR RESPONDENT

Team R6

Counsel for Respondent

QUESTIONS PRESENTED

I. Under the United States Bankruptcy Code, does a secured creditor violate 11 U.S.C. § 362(a)(3) when it passively retains possession of collateral that was lawfully repossessed from the debtor prior to the petition date?

II. Under the United States Bankruptcy Code, does 11 U.S.C. § 503(b) permit a court to grant an administrative expense for a substantial contribution in a chapter 7 bankruptcy case?

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OPINIONS BELOW

The United States Bankruptcy Court for the District of Moot ruled in favor of Milton Weinberg, a secured creditor, on two issues arising out of separate disputes. R. at 3, 9. First, the court found that Mr. Weinberg's passive retention of snowplows, which were lawfully repossessed prior to a bankruptcy filing by Debtor, Backstreets Plowing, Inc., did not violate the automatic stay outlined in § 362(a)(3) of the Bankruptcy Code. R. at 3. Second, the court found that because Mr. Weinberg expended resources that led to the recovery of a significant amount of money for the bankruptcy estate, Mr. Weinberg was entitled to an administrative claim for making a substantial contribution under § 503(b) of the Bankruptcy Code, notwithstanding the language of § 503(b)(3)(D). *Id.*

The trustee, Steven Vin Sant, appealed both issues to the Bankruptcy Appellate Panel for the Thirteenth Circuit, where the cases were consolidated. R. at 9. The appellate panel affirmed the district court's decision. *Id.* The trustee then appealed to the United States Court of Appeals for the Thirteenth Circuit. *Id.* Finding in favor of Mr. Weinberg, it affirmed the bankruptcy court's decision. R. at 21. The Supreme Court of the United States granted Mr. Vin Sant's petition for a writ of certiorari. R. at 9.

STATEMENT OF JURISDICTION

The formal statement of jurisdiction is waived pursuant to Competition Rule VIII.

STATUTORY PROVISIONS INVOLVED

The relevant statutory provisions involved in this case are listed below, and reproduced in Appendices A through H.

A. 11 U.S.C. § 102(3)

B. 11 U.S.C. § 361

C. 11 U.S.C. § 362(a)(3)

D. 11 U.S.C. § 362(k)(1)

E. 11 U.S.C. § 363(b)(1)

F. 11 U.S.C. § 363(e)

G. 11 U.S.C. § 503(a)

H. 11 U.S.C. § 503(b)(1)-(9)

I. 11 U.S.C. § 507(a)(2)

J. 11 U.S.C. § 542(a)

K. 11 U.S.C. § 548

L. Bankruptcy Rule 7001(1)

STATEMENT OF FACTS

The Creditor in this case is in danger of being deprived of his legal right to property because of a lack of accountability on behalf of the Debtor, and the trustee. Debtor, Backstreets Plowing, Inc., owned solely by Christopher Clemons, provided snowplowing services in the City of Badlands. R. at 3-4. To stay competitive, Debtor decided it needed new, more efficient snowplows, but lacked the capital to make the purchase. *Id.* Debtor asked Respondent, Milton Weinberg, for a loan of $450,000 to purchase the snowplows. R. at 4. Because of Mr. Weinberg's personal relationship with Mr. Clemmons, Mr. Weinberg agreed to loan Debtor the money in exchange for a security interest in the new snowplows and a personal guarantee from Mr. Clemons. *Id.* The terms of the promissory note stated that monthly payments would be made to Mr. Weinberg beginning in December 2015. *Id.*

In August 2015, Debtor purchased new snowplows using the loan and shortly thereafter, submitted a shockingly low bid to the City of Badlands for a plowing contract. *Id.* Questioning how the Debtor would be able to operate on the minute projected profit margins, the City of Badlands awarded the renewable contract to Debtor over two competitors, Tenth Avenue Freeze, Inc. and Stone Pony Plowing, LLC. *Id.* The terms of the government contract stipulated that Debtor would be paid a flat rate for plowing, regardless of the need for plowing services. R. at 5. Luckily for Debtor, the winter of 2015-2016 proved abnormally mild, creating a surplusage of profit because of exceptionally low maintenance and fuel costs. *Id.*

Despite having the funds to make a loan payment in December 2015, Mr. Clemons, acting as the Debtor, chose not to make a payment, likely still bitter from a blow-out between the two men, months earlier, over a college football game that resulted in the two not speaking. R. at 4–5. Exercising leniency, Mr. Weinberg waited to see if Debtor would make a payment on the loan, but

after Debtor failed to make the first few payments, Mr. Weinberg attempted to contact Mr. Clemons several times in February 2016. R. at 5. Mr. Clemons avoided Mr. Weinberg's attempts by ignoring numerous calls. *Id.* Finally, Mr. Weinberg drove to Debtor's facility to inquire about payment. *Id.*

After Mr. Weinberg arrived at Debtor's facility, Mr. Clemons summoned several of Debtor's employees to forcibly remove Mr. Weinberg from the business's property. *Id.* After waiting another two months for payment, Mr. Weinberg sued both Debtor and Mr. Clemons, for his personal guarantee, on the promissory note in the State of Moot Circuit Court. *Id.* In October 2016, Mr. Weinberg was awarded a default judgment against both the Debtor and Mr. Clemons, jointly and severally, in the amount of $450,000 plus interest and fees. *Id.* In January 2017, Mr. Weinberg began attempts to collect on his judgment, sending E Street Auto Recovery to Debtor's headquarters to repossess the snowplows. R. at 6. The snowplows were lawfully repossessed and delivered to a storage facility owned by Mr. Weinberg, remaining idle there since. *Id.*

Heavy snowfall in the winter of 2016-2017 depleted Debtor's monetary cushion and the flat rate paid by the City of Badlands did not cover its business costs. R. at 6. Without its new snowplows, Debtor was not able to fulfill its obligations under the plowing contract with the City of Badlands. *Id.* On February 4, 2017, Debtor filed a chapter 11 bankruptcy petition. *Id.*

Post-petition, Debtor's counsel sent Mr. Weinberg a demand letter, requesting return of the snowplows. *Id.* Absent a turnover order and adequate protection, Mr. Weinberg declined to return the snowplows. *Id.* Instead of seeking a court order to recover the snowplows, Debtor chose to file a motion arguing that Mr. Weinberg's passive retention of the snowplows constituted a stay violation under § 362(a)(3). *Id.* The bankruptcy court disagreed. *Id.*

Debtor appealed the decision, but shortly thereafter voluntarily converted its chapter 11 bankruptcy case to a chapter 7 case and a trustee was appointed. R. at 7. After conversion, Mr. Weinberg hired a collection law firm, expending $25,000, to assist in recovering the $450,000 debt personally guaranteed by Mr. Clemons, pursuant to the circuit court's order. *Id.* That firm uncovered a $100,000 fraudulent transfer[1] Debtor made to his daughter's bank account just after Mr. Weinberg filed suit against the Debtor and Mr. Clemmons, individually. *Id.* The trustee filed suit against Mr. Clemons's daughter to recover the funds, settling for payment of $75,000 to the estate. *Id.*

Mr. Weinberg sought to recover expenses associated with his substantial contribution under § 503(b) of the Bankruptcy Code. *Id.* Conceding that Mr. Weinberg had in fact made a substantial contribution to the estate, the trustee nevertheless opposed Mr. Weinberg's motion, arguing that administrative expense claims arising from a substantial contribution may only be awarded under chapter 9 and 11 bankruptcy cases, per § 503(b)(3)(D). R. at 8. Disagreeing, the bankruptcy court awarded Mr. Weinberg $25,000. *Id.* The trustee appealed. *Id.*

Despite frequent utilization of the bankruptcy court, between April 2017 when the trustee was appointed and September 2017, the trustee never sought a turnover order regarding the snowplows. R. at 7–8. Instead, when Debtor's competitor, Tenth Avenue Freeze, Inc., sought to purchase Debtor's assets, including the snowplows, the trustee pursued negotiations with Mr. Weinberg for their return. R. at 8. When the negotiations proved unsuccessful, the trustee resumed the stay violation appeal rather than initiating a turnover action. *Id.* In November 2017, Tenth Avenue

[1] A "fraudulent transfer" is any voluntary or involuntary improper transfer, as defined by 11 U.S.C. § 548, of property of the bankruptcy estate to a third-party.

Freeze, Inc. revoked its offer, believing the snowplows would not be available for the upcoming winter season. *Id.* Still, the trustee did not seek a turnover order from the bankruptcy court. *Id.*

In January 2018, the trustee accepted an offer from another of Debtor's competitors, Stone Pony Plowing, LLC, for the purchase of the estate's assets, excluding the snowplows, for less than what Tenth Avenue Freeze, Inc. had offered. R. at 8–9. The bankruptcy court approved. *Id.*

Shortly after the court's approval in February 2018, the sale to Stone Pony Plowing, LLC closed, but trustee refused to drop either of the pending appeals. R. at 9. Despite the trustee's failure to seek a turnover order from the bankruptcy court at any point, and despite the trustee's agreeance that Mr. Weinberg made a substantial contribution to the estate, the trustee appealed to the bankruptcy appellate panel and subsequently the United States Court of Appeals for the Thirteenth Circuit. *Id.* Both courts affirmed the bankruptcy court's decision.

SUMMARY OF ARGUMENT

Passive retention of estate property that was repossessed by a secured creditor before a bankruptcy filing does not violate the automatic stay in § 362(a)(3) of the Bankruptcy Code. First, the ordinary meaning of the terms used in § 362(a)(3) require that a creditor engage in affirmative conduct regarding estate property to find itself in violation of the stay. Mere passive retention, best characterized as inaction, does not constitute a stay violation.

Second, § 362(a)(3) can be properly construed only when it is understood in the context of § 542(a) and § 363(e) of the Code. A finding that passive retention constitutes a stay violation would read obligatory turnover into § 362(a)(3), eviscerating the rights and protections afforded to creditor's under Code. This is because the turnover provision, § 542(a), affords creditors a defense to turnover, known as the inconsequential value defense. Requiring a creditor to relinquish

possession of estate property before having the opportunity to defend itself would render that defense ineffective. Furthermore, a creditor has a right to adequate protection under § 363(e) of the Code. Adequate protection is intended to act as a replacement for a creditor's interest in possession of the estate property. Premature turnover of estate property by reading an affirmative obligation into § 362(a)(3) would effectively prevent creditor's from being timely awarded adequate protection, leaving creditors vulnerable to destruction of their interests in estate property.

Third, passive retention of estate property does not constitute a stay violation because the phrase, "to exercise control," found in § 362(a)(3) cannot be construed to compel turnover where courts have a duty not to read words into a statute that do not appear on its face. Nothing in the legislative history indicates that Congress intended for its addition of "to exercise control" in 1984 to compel turnover, so it must be assumed that Congress said in § 362(a)(3) what it meant and meant what it said—that did not include compulsory turnover. Furthermore, there is an entire section of the Code, § 542, that deals with turnover. It would be absurd to insist that Congress intended the automatic stay provision to contain an affirmative duty to turnover estate property, where not even the turnover provision compels turnover.

Fourth, judicial precedent supports a finding that passive retention of repossessed estate property does not constitute a stay violation. Several courts have found that where the Bankruptcy Code has afforded creditors various rights, a creditor may assert its rights without violating the automatic stay provision. A creditor has the right to act in resistance to a debtor's asserted rights over estate property, even where that resistance has the potential to inflict a burden on the bankruptcy estate. Passive retention is rightfully an act of resistance, well within the right of a creditor, and without more, does not constitute a stay violation.

Fifth, passive retention does not constitute a stay violation because to hold otherwise would have negative public policy implications. Finding obligator turnover in § 362(a)(3) by reading passive retention as a stay violation would open creditors to the harsh penalties for automatic stay violations found in § 362(k)(1). Imposition of penalties where creditors are merely asserting the rights given to them under the Code would be unreasonable. Moreover, penalizing creditors for attempting to protect their interests in estate property would increase the costs of lending, making it more difficult to obtain a loan. This is particularly unfavorable where economic stability and growth depends on the availability of financing.

Turning to the second issue, administrative claims for substantial contributions are permitted in a Chapter 7 case under § 503(b). First, the plain language of § 503(b) supports reading the provision broadly so as to allow bankruptcy courts flexibility in determining, on a case-by-case basis, whether administrative expenses should be granted. The use of the word "including," defined by the Bankruptcy Code as "not limiting," signifies that the nine enumerated categories in § 503(b) are illustrative of the types of administrative expenses that must be awarded but are not the only expenses that may be awarded.

Second, Congress intentionally drafted § 503(b) with flexibility so that bankruptcy courts could consider the totality of the circumstances in deciding whether administrative expenses should be granted in a particular case. Where Congress used the word "including" so as not to place limitations on the bankruptcy courts ability to award administrative expenses and did not expressly exclude administrative expenses from being awarded to a Chapter 7 creditor, it is well within the discretion of the bankruptcy court to decide the issue.

Third, § 503(b) must allow bankruptcy courts to awarded administrative expenses in cases where equity requires that result. It is well-settled that bankruptcy courts are courts of equity and

creditors' faith in bankruptcy courts depends on them being able to issue equitable results. Furthermore, success in bankruptcy depends on creditors' willingness to assist in bankruptcy proceedings. Reading § 503(b) in a way that would prevent the bankruptcy court from awarding administrative expenses to a creditor who made a substantial contribution in a Chapter 7 case would disincentivize participation, ultimately hindering the success of bankruptcy proceedings.

ARGUMENT

I. PASSIVE RETENTION OF ESTATE PROPERTY LAWFULLY REPOSSESSED PREPETITION BY A SECURED CREDITOR IS NOT A VIOLATION OF THE AUTOMATIC STAY IN § 362(A)(3).

A. Passive retention of estate property does not run afoul of the plain language of § 362(a)(3).

Mr. Weinberg did not violate § 362(a)(3) by passively retaining the snowplows he lawfully repossessed pre-petition, because passive retention is not "an act to exercise control over property of the estate." 11 U.S.C. § 362(a)(3) (2012). Statutory interpretation begins with the plain language of a statute. *United States v. Ron Pair Enters., Inc.*, 489 U.S. 235, 240–41 (1989). If the words used are undefined, they should be given their ordinary meaning. *Asgrow Seed Co. v. Winterboer*, 513 U.S. 179, 187 (1995). Additionally, courts have a duty to interpret a statute so that each word and phrase is given effect. *Duncan v. Walker*, 533 U.S. 167, 174 (2001).

A bankruptcy petition "operates as a *stay*, applicable to all entities, of any *act* to obtain possession of property of the estate or of property from the estate or *to exercise control* over property of the estate." 11 U.S.C. § 362(a)(3) (emphasis added). The automatic stay provision, § 362, applies only to post-petition acts by non-debtors. *United States v. Inslaw, Inc.*, 932 F.2d 1467, 1474 (D.C. Cir. 1991). Once a bankruptcy petition is filed, further action by an entity is stayed. 11 U.S.C. § 362(a)(3). If an entity commits a stay violation by attempting to gain possession of estate

property or exercising control over that property, it may be subject to the harsh penalties provided by § 362(k)(1). 11 U.S.C. § 362(k)(1).

Proper interpretation of § 362(a)(3) requires that several key terms be given their proper meaning: "stay," "act," "exercise," and "control." *See Duncan*, 533 U.S. at 174. These terms are not defined in the Bankruptcy Code and therefore, must be given their ordinary meaning. *Asgrow*, 513 U.S. at 187. "Stay" is defined as "the postponement or halting of a proceeding, judgment, or the like." *Stay*, BLACK'S LAW DICTIONARY (10th ed. 2014). In other words, "stay means stay, not go." *WD Equip., LLC v. Cowen (In re Cowen)*, 849 F.3d 943, 949 (10th Cir. 2017). In effect, the statute operates to halt post-petition acts to "gain possession of" or "exercise control over" estate property in order to preserve the status quo—whatever disposition existed at the time the petition was filed. *Thompson v. Gen. Motors Acceptance Corp., LLC*, 566 F.3d 699, 702 (7th Cir. 2009) (citing *In re Young*, 193 B.R. 620, 624 (Bankr. D. D.C. 1996)).

"Act" is defined as "the process of doing or performing." *Act*, BLACK'S LAW DICTIONARY (10th ed. 2014). "Doing or performing" indicates that stay violations require *affirmative* conduct. *Cowen*, 849 F.39 at 949–50. Therefore, because "act" requires *affirmative* conduct, a stay halts only *affirmative* conduct. *Id.* at 949. Mere passive retention of repossessed estate property is not affirmative conduct and thus, does not constitute a stay violation; rather, it does exactly what the statute intends, maintains the status quo, preserving the governance of further estate actions for the bankruptcy court. *See id.* at 949–50.

The remaining relevant phrase of the automatic stay provision, "to exercise control," confirms that a stay violation requires affirmative conduct.[2] 11 U.S.C. § 362(a)(3). "Exercise" is defined as "to put into action." *Exercise*, BLACK'S LAW DICTIONARY (10th ed. 2014). "Control" is defined as "the power or authority to manage, direct, or oversee." *Control*, *Id.* Because the two words operate as a phrase, they should not be considered independently. *See Gustafson v. Alloyd Co., Inc.*, 513 U.S. 561, 575 (1995) (discussing the doctrine of *noscitur a sociis*: "a word is known by the company it keeps."). Thus, "exercise control" must refer to affirmatively leveraging one's authority, not mere passivity of possession. *See Cowen*, 849 F.3d at 949–50.

Erroneous interpretation occurs when effect is given to "control," but the plain meaning of "exercise" is ignored. *See Thompson,* 566 F.3d at 702 (defining "control" as "to exercise restraining or directing influence over," including "exercise" in the definition of control without considering its plain meaning); *see also Weber v. SEFCU (In re Weber)*, 719 F.3d 72, 79 (2nd Cir. 2013) (defining "control" as "to exercise authority over; direct; command," including "exercise" in the definition of "control"). Any assertion that passive retention constitutes an exercise of control can be supported only if the plain meaning of "exercise" is ignored by including it in the definition of "control," a contravention of the elementary principle of statutory construction requiring each word in a statute to be given effect. *See Duncan,* 533 U.S. at 174. When cardinal rules of statutory interpretation are properly adhered to, a stay violation arises only when an entity affirmatively leverages its authority over estate property after the bankruptcy petition has been filed. *See id.*

Where the statute requires both an "act" and an "exercise," words requiring affirmative conduct, mere passive retention of repossessed property cannot constitute a stay violation. *See*

[2] It is not necessary to consider the meaning of "to obtain possession of property of the estate or property from the estate" because it is undisputed that Weinberg obtained possession of the snowplows before the bankruptcy petition was filed and the automatic stay provision applies only to acts to obtain possession post-petition.

Davis v. Tyson Prepared Foods, Inc. (In re Garcia), 740 Fed. Appx. 163, 164 (10th Cir. 2018) (reading "act" to encompass only affirmative conduct). Mr. Weinberg lawfully repossessed Debtor's snowplows pre-petition and placed them in a storage facility where they have remained idle since. R. at 6. Mr. Weinberg's inaction did not violate the automatic stay.

B. Construing § 362(a)(3) as prohibiting passive retention of lawfully repossessed estate property ignores fundamental canons of statutory construction.

Prohibiting passive retention of property requires reading provisions into § 362 that are simply not in the statute. *See* 11 U.S.C. § 362. Courts should not "read statutory provisions in isolation, as if other provisions of the same Act do not exist." *Miller v. Albright,* 523 U.S. 420, 456 (1998) (O'Connor, J., concurring). A statute must be construed to avoid rendering other provisions inoperative, void, insignificant, or superfluous. *Hibbs v. Winn*, 542 U.S. 88, 101 (2004). Interpreting "to exercise control" as precluding passive retention of estate property reads an affirmative turnover obligation into the automatic stay provision, eviscerating § 542(a) and § 363(e) of the Code. *See In re Hall,* 502 B.R. 650, 666 (Bankr. D.D.C. 2014). That result must be avoided where an alternative construction of "to exercise control," one that does not manufacture an obligatory turnover provision by turning passive retention into a stay violation, leaves the other provisions of the Bankruptcy Code in tact. *Cowen*, 849 F.3d at 949.

Proper construction of § 362(a)(3) requires that it be read in the context of § 542 and § 363 of the Code. *See Hibbs*, 542 U.S. at 101. Under § 363, a trustee "may use, sell, or lease" estate property with the approval of the bankruptcy court. 11 U.S.C. § 363(b)(1) (2012). Subsection (e) requires a court to "prohibit or condition" a trustee's disposition of estate property to provide adequate protection[3] of an entity's interest in that property, where requested. *Id.* § 363(e). Section

[3] "Adequate Protection" is defined by 11 U.S.C. § 361 (2012).

542(a) provides that, in the event of turnover, property of consequential value is to be delivered to the trustee, as opposed to the debtor or another. 11 U.S.C. § 542(a) (2012) . Both provisions provide safeguards to turnover that would be effectively destroyed by reading an affirmative obligation of turnover into § 362(a)(3). *See In re Hall*, 502 B.R. at 655.

First, § 363(e) provides for adequate protection of a creditor's interest to "replace the protection afforded by possession." *United States v. Whiting Pools, Inc.*, 462 U.S. 198, 207 (1983). Adequate protection is one of the rights given to creditors by the Bankruptcy Code. *Id.* Demanding turnover before a creditor is assured by the court that there is adequate protection would, in effect, strip a creditor of this right and leave it vulnerable to destruction of its interest in estate property. *See id.* For example, if Mr. Weinberg delivered the snowplows to the trustee for use in Debtor's business before the court could assure adequate protection (e.g., proof of insurance naming Mr. Weinberg as the payee) and a plow was destroyed, Mr. Weinberg's interest in that plow would also be destroyed. *See, e.g.*, *In re Denby-Peterson*, 576 B.R. 66, 82 (Bankr. D.N.J. 2017). To avoid this risk, § 363(e) contemplates a process of turnover that allows a creditor to trade possession for adequate protection. *See* 11 U.S.C. § 363(e). Interpreting § 362(a)(3) as compelling turnover would render the tradeoff afforded by § 363(e) void because possession would be mandatorily relinquished before adequate protection is in place. *See In re Hall*, 502 B.R. at 660 ("If a creditor is required to turn over the asset before it can seek adequate protection, it might be irreparably harmed and lost the protection that § 363(e) is intended to provide.").

Second, § 542(a) similarly contemplates an adversarial turnover proceeding, evidenced by the defenses found in the statute. *See* 11 U.S.C. § 542(a). One of those being the inconsequential value defense. *Id.* Where a trustee seeks a turnover order from the court, a creditor may defend possession by arguing that the property at issue is of inconsequential value to the estate. *See id.* A

finding that a creditor is compelled to turn over property it believes to be of inconsequential value before being able to raise that issue in court would render the defense insignificant. *See In re Hall*, 502 B.R. at 655. A creditor must have the opportunity to defend its ability to protect its interest in the most fundamental manner, through possession, before being stripped of that ability. *See Whiting Pools*, 462 U.S. at 207 ("The Bankruptcy Code provides secured creditors various rights…"). Section 363(a)(3) must not be construed to include obligatory turnover where it would render portions of § 542(a) insignificant. *See Hibbs*, 542 U.S. at 101.

This is not to say the snowplows repossessed by Mr. Weinberg are of inconsequential value to the estate. Rather, it is to highlight that the Code anticipates an adversarial process whereby a trustee has the burden to bring a turnover action, thereby allowing a creditor to adequately defend its rights in a bankruptcy court before relinquishing possession. *See In re Perkins*, 902 F.2d 1254, 1258 (7th Cir. 1990) (holding that turnover actions are adversarial). This conclusion is further supported by Federal Rule of Bankruptcy Procedure 7001(1), which states that "a proceeding to recover money or property" is adversarial. FED. R. BANKR. P. 7001(1). Turnover is a an adversarial proceeding to recover property, falling within Rule 7001(1). *In re Perkins*, 902 F.2d 1254, 1258 (7th Cir. 1990).

Overall, § 362(a)(3) must be interpreted with consideration given to § 363(e) and § 542(a) so as not to render those provisions insignificant. *See Miller*, 523 U.S. at 456. The Bankruptcy Code gives Mr. Weinberg the right to adequate protection of his interest in the snowplows and forcing him to turnover those plows before such protection can be assured would be absurd where adequate protection is designed to replace possession. *See Whiting Pools, Inc.*, 462 U.S. at 207. Conclusively, passive retention cannot constitute a stay violation without ignoring § 363(e) and

§ 542(a) and to do so would run afoul of fundamental canons of statutory construction. *See Miller*, 523 U.S. at 456.

C. Obligatory turnover should not be read into § 362(a)(3) where Congress did not include it, particularly where the turnover provision, § 542(a), itself does not compel turnover.

Passive retention of estate property does not constitute a stay violation because the phrase "to exercise control" cannot be construed to compel turnover where courts have a duty not to "read[] words into a statute that do not appear on its face." *Bates v. United States*, 522 U.S. 23, 24 (1997). If passive retention was considered an exercise of control, then anything other than turnover would violate the automatic stay, making the phrase "to exercise control" a misnomer for "mandatory turnover." Such an interpretation is erroneous because "courts must presume that a legislature says in a statute what is means and means in a statute what it says there." *Connecticut Nat'l Bank v. Germain*, 503 U.S. 249, 253–54 (1992). Moreover, "[i]f Congress had meant to add an affirmative obligation—to the automatic *stay* provision no less, as opposed to the *turnover* provision—to turn over property belonging to the estate, it would have done so explicitly." *Cowen*, 849 F.3d at 950 (emphasis in original). Therefore, where the turnover provision itself is not self-effectuating, § 362(a)(3) most certainly does not compel turnover. *See In re Hall*, 502 B.R. at 654–59 (analyzing the history and purpose of the turnover power).

The addition of "to exercise control" in the automatic stay provision did not turn passive retention of estate property into a stay violation. *See Cowen*, 849 F.3d at 950. In 1984, Congress added "to exercise control" to § 362(a)(3), providing no explanation of the amendment's purpose. *Thompson*, 566 F.3d at 702. Prior to the amendment, only acts to gain possession of estate property were stayed, but the provision had no effect on a creditor's conduct affecting estate property already in its possession. *See Cowen*, 849 F.3d at 949–50. The statute likewise had no effect on

creditor's actions regarding intangible property rights, such as contract rights, which cannot be physically possessed. *See id.* Pre-1984, nothing prevented a creditor from selling repossessed property, causing destruction of the estate, and stripping other estate creditors of equitable distribution of estate assets. *See id.* at 950 (explaining that the sale of estate property in a creditor's possession is an example of exercising control where there is no act to obtain possession). In this way, the statute failed to comport with the legislative purpose of the bankruptcy code, which is to prevent creditors from "detroy[ing] the bankrupt estate in their scramble for relief." *Inslaw*, 932 F.2d at 1473. The addition of "to exercise control" solved the problem by precluding creditors-in-possession from selling estate property after a bankruptcy petition had been filed, ensuring no single creditor could "obtain payment on its claims to the detriment of others." *Hillis Motor, Inc. v. Hawaii Auto. Dealers' Ass'n*, 997 F.2d 581, 585 (9th Cir. 1993).

Furthermore, construing the phrase "to exercise control" to include passive retention of estate property is unnecessarily expansive. *See Chugach Timber Corp. v. Northern Stevedoring & Handling Corp. (In re Chugach Forest Products),* 23 F.3d 241, 245 (9th Cir. 1994) ("Thus, while seemingly broad in scope, the automatic stay provision should be construed no more expansively than is necessary to effectuate legislative purpose."). If Congress intended the amendment to expand the provision to such a degree, it likely would have explicitly added an affirmative obligation instead of injecting ambiguity into § 362(a)(3). *See Cowen,* 849 F.3d at 950. This is particularly true where the Code already contained an entire section dedicated to turnover. *See* 11 U.S.C. § 542.

It is difficult to imagine that if Congress meant to create mandatory turnover it would hide the obligation in § 362(a)(3), forcing creditors susceptible to the Bankruptcy Code to engage in "mental gymnastics" to figure out their duties. *See Whitman v. Am. Trucking Ass'ns, Inc.*, 531 U.S.

457, 469 (2001) ("Congress… does not alter the fundamental details of a regulatory scheme in vague terms…"). If there was such an obligation, one would expect to find it in the turnover provision. *See Cowen*, 849 F.3d at 950. However, not even that provision compels turnover without first requiring an adjudicatory process. *In re Hall*, 502 B.R. at 655.

Section 542(a)'s requirement that an entity "shall deliver" estate property "to the trustee" is not self-effectuating. 11 U.S.C. § 542(a). The petitioner argues that because "shall" is not permissive, the turnover provision is self-executing, requiring turnover even where there is no court order. 5 COLLIER ON BANKRUPTCY ¶ 542.03 (16th ed. 2017). However, petitioner's preferred interpretation is erroneous. *See Whiting Pools*, 462 U.S. at 208 ("[T]he bankruptcy court could order the turnover of collateral in the hands of a secured creditor."). The phrase "shall deliver" does not mean a creditor must immediately turnover property, rather it merely dictates *how* and *to whom* property should be returned when done voluntarily or pursuant to a court order. *See In re Hall,* 502 B.R. at 656.

As previously explained, a creditor's right to adequate protection and certain defenses under the Bankruptcy Code requires an adversarial proceeding for turnover, absent voluntary return. *See id.* A trustee may use § 542 to retrieve estate property that is in possession of a creditor by filing a turnover action in the bankruptcy court. *See* H.R.Rep. No. 95–595 at 367 (noting that property of the estate includes "property recovered by the trustee under section 542… if the property recovered was merely out of the possession of the debtor yet remained 'property of the debtor.'"). After the adjudicatory process, if the bankruptcy court orders the return of the estate property, then § 542 prescribes who bears the burden of return ("an entity"), how the return must occur ("shall deliver"), and to whom ("the trustee"). 11 U.S.C. § 542(a).

Congressional intent and precedent do not support such a finding either. *See Whiting Pools*, 462 U.S. at 207–08. In *Whiting Pools*, this Court analyzed both the legislative history and the pre-Bankruptcy Code precedent of the turnover provision. *Id.* This Court explained that the congressional hearings giving birth to § 542(a) "noted, without contradiction, the need for a provision *authorizing* the turnover of property of the debtor in the possession of secured creditors." *Id.* at 207 (emphasis added). Furthermore, this Court explained that "[u]nder Chapter X, the reorganization chapter of the Bankruptcy Act of 1878… the bankruptcy court *could* order turnover of collateral in the hands of a secured creditor." *Id.* at 208 (internal citations omitted) (emphasis added). Lastly, this Court found that "[n]othing in the legislative history evinces a congressional intent to depart from that practice." *Id.* Therefore, nothing this Court held in *Whiting Pools* supports a finding that § 542(a) is self-effectuating. *See id.* Were the turnover provision self-executing, the congressional hearings discussed above would have "noted… the need for a provision" *commanding* "the turnover of property," not merely *authorizing*. *See Whiting Pools*, 462 U.S. at 207. Additionally, a bankruptcy court would not require discretionary power to order turnover because turnover would be automatic. *See Whiting Pools*, 462 U.S. at 207–08. Therefore, § 542(a) is not self-executing because such a finding is not supported by the statute's plain meaning, legislative history, or judicial precedent.

Congress did not explicitly include mandatory turnover of estate property in § 362(a)(3) and one should not be read in, particularly where congressional intent does not support such a construction. *See Bates*, 522 U.S. at 24. Because no such obligation exists, passive retention of lawfully repossessed property does not constitute a stay violation. *See Cowen*, 849 F.3d at 950. This conclusion is further supported by logic because had Congress meant to create such an obligation, it would have been placed in the turnover provision. *See* 11 U.S.C. § 542. A close

examination of that provision proves it is not self-effectuating; therefore, turnover is either voluntarily or compulsory pursuant *only* to a court order. *See* § 542(a); *see also Whiting Pools*, 462 U.S. at 207–08. Mr. Weinberg was never ordered by the bankruptcy court to turn over the snowplows because the trustee never filed a turnover action against Mr. Weinberg. R. 7–8. Thus, Mr. Weinberg's passive retention of the plows did not violate the automatic stay.

D. Judicial precedent confirms that passive retention of estate property does not violate § 362(a)(3).

Judicial precedent supports a finding that passive retention of lawfully repossessed estate property is not a stay violation and therefore, Mr. Weinberg's refusal to return the snowplows absent a turnover order was not a violation. This Court has consistently recognized that the Bankruptcy Code gives creditors certain rights related to their interest in estate property. *See, e.g.*, *Whiting Pools*, 462 U.S. at 207; *Ron Pair*, 489 U.S. at 249; *Pepper v. Litton*, 308 U.S. 295, 311 (1939). This includes the right to seek adequate protection of one's interest. *Whiting Pools*, 462 U.S. at 207. That right allows a creditor to resist extra-judicial trustee requests for turnover, pending an adversarial proceeding, which is required by Bankruptcy Rule 7001(1), "to recover money or property." *See* FED. R. BANKR. P. 7001(1); *see also In re Perkins*, 902 F.2d 1254, 1258 (7th Cir. 1990) (holding that turnover actions fall within the scope of Bankruptcy Rule 7001(1)). Passive retention is "resistance to [a] debtor's view of its rights," and does not violate § 362(a)(3). *See Inslaw*, 932 F.2d at 1473.

Several circuit courts have held that a creditor may act, in certain ways, in resistance to a debtor's asserted rights and not be in violation of the automatic stay, even where that resistance creates an obstacle for the trustee. *Id.* For example, after a bankruptcy filing, a creditor may file a motion to dismiss a pre-petition suit brought against it by the debtor without finding itself in violation of the automatic stay provision. *Martin-Trigona v. Champion Federal Sav. And Loan Ass'n*,

892 F.2d 575, 577 (7th Cir. 1989). Even creditor actions, such as filing a lis pendens, that have the potential to jeopardize prospective buyers' value assessment of the estate, do not violate the stay provision. *In re Knightsbridge Development Co.*, 884 F.2d 145, 148 (4th Cir. 1989). Where courts have found that neither acts of resistance that burden a debtor's asserted rights nor acts that risk causing irreparable injury an estate's potential value violate the stay provision, mere passive retention of estate property is not a stay violation as it, too, is a similar act of resistance. *See Cowen*, 849 F.3d at 950. Despite its potential to burden the estate, passive retention of estate property is within a creditor's right to resist a debtor's asserted rights to estate property in pursuit of the adequate protection that is guaranteed by a turnover action. *See Inslaw*, 932 F.2d at 1473.

Passive retention alone does not violate the automatic stay, but it is undeniable that certain acts in addition to retention would constitute a stay violation. *See Cowen*, 849 F.3d at 951. For example, the *Cowen* court found that where a creditor forged documents, manufactured paperwork, coached witnesses, and gave perjured testimony to show that a debtor's rights to property had ceased before the bankruptcy petition was filed, those acts constituted a stay violation. *Id.* However, passive retention of the estate property, without more, is not a stay violation because it is merely an exercise of the creditor's right to resistance under the Bankruptcy Code. *Id.* at 950.

Unlike the creditor in *Cowen*, Mr. Weinberg did no more than passively retain the snowplows he had legally repossessed before the Debtor's bankruptcy petition was filed. *See id.* at 951. Refusing to capitulate, first to Debtor's attorneys' demand letter and later to the trustee's attempt at negotiations, was not an exercise of control under § 362(a)(3), as petitioner insists, because Mr. Weinberg was within his legal rights under the Bankruptcy Code. *See Martin-Trigona*, 892 F.2d at 577. Absent a court order, Mr. Weinberg had no duty under § 362(a)(3) to yield to the estate's requests. *See Inslaw*, 932 F.2d at 1473.

E. An interest in avoiding unduly burdening creditors justifies interpreting "to exercise control" not to include passive retention of estate property for public policy reasons.

Passive retention of estate property does not constitute a stay violation because to hold otherwise would be bad public policy. Willful violations of the automatic stay provision impose heavy penalties including actual damages, attorneys' fees, and, in some situations, punitive damages. 11 U.S.C. § 362(k)(1). Finding obligatory turnover in § 362(a)(3) would inflict those penalties on any entity that was aware of the bankruptcy petition and continued to retain estate property, despite an entity's right to adequate protection or an inconsequential value defense. *See Eskanos & Adler, P.C. v. Leetien*, 309 F.3d 1210, 1215 (9th Cir. 2002) ("A willful violation is satisfied if a party knew of the automatic stay, and its actions in violation of the stay were intentional."). Where the Bankruptcy Code seeks to protect creditors and debtors alike, imposition of heavy penalties for mere passive retention is unreasonable because it is that possession that protects a creditor's interest absent court ordered adequate protection where a turnover action has not been sought. *See In re Timbers of Inwood Forest Associates, Ltd.*, 808 F.2d 363, 373 (5th Cir. 1987) ("The creditor-protection provisions of the Bankruptcy Code… can be made meaningful only by bankruptcy judges who are equally sensitive to the need for creditor protections as to the need for protecting the debtor's right to reorganize."). Moreover, reducing creditors' ability to protect their interests in the event of bankruptcy, increases the costs of lending and thereby has the potential to stunt economic growth. Jackson, *Bankruptcy, Non-Bankruptcy Entitlements, And The Creditors' Bargain*, 91 YALE L.J. 857, 875 (1982).

Reading compulsory turnover into § 362(a)(3) would punish creditors for asserting their legal rights under the Bankruptcy Code. *See Inslaw*, 932 F.2d at 1473 ("[Compulsory turnover] would turn every act of the possessor that implicitly asserts his title over disputed property into a

violation of § 362(a)… creating a kind of universal end-run around the limits on turnover."). Where § 362(a)(3) does not explicitly include an affirmative turnover duty and no congressional intent to do so was expressed in adding "to exercise control," construing passive retention as a stay violation introduces ambiguity into the statute and then slams creditors with harsh penalties for bona fide misinterpretations. *See id.* ("Since willful violations of the stay expose the offending party to liability for compensatory damages, costs, and, in some circumstances, punitive damages, it is difficult to believe that Congress intended a violation whenever someone already in possession of property mistakenly refuses to capitulate to a bankrupt's assertion of rights in that property."). Where federal circuit court judges have a near impossible time agreeing on how the Bankruptcy Code should be interpreted, to read obligatory turnover into § 362(a)(3) where it does not exist, and then punish creditors seeking to protect their interest by passively retaining estate property in the absence of a turnover order for failing to discover the cloaked obligation would be absurd. *See* Gebbia, *Certiorari and the Bankruptcy Code The Statutory Interpretation Cases*, 90 AM. BANKR. L.J. 503, 507, 528, 530 (2016) (between 1981 and 2014, the Supreme Court granted certrioari in 82 bankruptcy cases, 36 of those cases were pure Bankruptcy Code statutory interpretation cases and 100% of them arose from circuit splits). The sheer number of bankruptcy cases filed each year militates in favor of interpreting § 362(a)(3) in a way that does not expose creditors to the penalties of § 362(k)(1) for passive retention of estate property to ensure the Bankruptcy Code protects debtors and creditors alike. *See id.* at 598 n. 44 (963,739 cases were filed in bankruptcy courts between Oct. 1, 2013 and Sept. 30, 2014).

Furthermore, penalizing creditors for attempting to protect their interests in estate property absent a turnover order would make getting a loan increasingly difficult. *See* Jackson, *supra*, at 875 ("[A] secured creditor with knowledge of the increased risk of undercompensation at the time

of making a loan will be expected to charge the debtor for this risk."). Even where adequate protection is court ordered, a creditor is unlikely to recover the market value for that property, which increases the cost of secured credit. *See id.* Such costs would be further exacerbated if a creditor was required to relinquish possession of property before an assurance of adequate protection, leaving it vulnerable to destruction of its interest. *See id.* Where economic growth depends on the availability of financing, increasing the barriers to lending by interpreting passive retention as a stay violation would hinder growth. *See* Hearn, *How New Swap Regulations Mandated by the Dodd-Frank Act Could Help Stabilize the Repo Market,* 19 No. 3 PIABA B.J. 317, 341 (2012) ("An increase in the cost of borrowing tends to slow down economic growth.").

Bankruptcy is an unfortunate, but pervasive reality in the United States. *See* Gebbia, *supra*, at 598 n. 44. Interpreting § 362(a)(3) of the Bankruptcy Code in a way that introduces ambiguity into the statute by holding passive retention as a stay violation, thereby compelling turnover, and then punishes creditors harshly for misunderstanding the provision is counter to an overwhelming interest in economic stability and growth. *See* Hearn, *supra,* at 341. Because such an interpretation would increase the barriers to lending, a fundamental building block of economic growth, passive retention of estate property cannot constitute a stay violation for sound public policy reasons. *See* Jackson, *supra*, at 875.

II. ADMINISTRATIVE CLAIMS FOR SUBSTANTIAL CONTRIBUTIONS ARE PERMITTED IN CHAPTER 7 CASES UNDER § 503(B).

A. The plain language of § 503(b) supports granting substantial contribution administrative expenses in a Chapter 7 case.

Mr. Weinberg was properly awarded the administrative costs of the substantial contribution he made to Debtor's estate[4] because the plain language of § 503(b) allows administrative expenses to be granted to a creditor in a Chapter 7 bankruptcy case. A successful bankruptcy case depends on all parties working toward the mutual benefit of the estate. *See In re Maust Transp., Inc.*, 589 B.R. 887, 898 (Bankr. W.D. Wash. 2018) (finding that the Code encourages creditors to make substantial contributions to the estate). To promote that goal, the Bankruptcy Code prioritizes administrative expenses over unsecured claims. 11 U.S.C. § 507(a)(2) (2012). An administrative expense is incurred when a party substantially contributes to a bankrupt estate. *Lebron v. Mechem Financial Inc.*, 27 F.3d 937, 940 (3rd Cir. 1994). A contribution is substantial if a party's efforts actually or demonstrably benefited the bankrupt estate and its creditors. *See id.* at 944 (citing *In re Lister*, 846 F.2d 55, 57 (10th Cir. 1988). Where a substantial contribution was made, "an entity may timely file a request for payment of an administrative expense." 11 U.S.C. § 503(a). Thereafter, a court "shall" award a variety of administrative expenses pursuant to a hearing. 11 U.S.C. § 503(b).

Enumerated in § 503 are nine categories of administrative expenses that must be permitted, as indicated by the phrase "shall be allowed" in the provision's introductory language. *See Lexecon Inc. v. Milberg Weiss Bershad Hynes & Lerach*, 523 U.S. 26, 35 (1998) (recognizing that "shall" is mandatory, rather than permissive, and "creates an obligation impervious to judicial discretion."). However, the nine enumerated categories are not only the situations in which administrative expenses are permitted: the introductory language leaves open the possibility that other administrative expenses may be warranted by stating, "[a]fter notice and hearing, there shall be

[4] It is undisputed by the parties that Mr. Weinberg's efforts resulted in a substantial contribution to Debtor's estate. R. at 7-8.

allowed administrative expenses…. *including*" subsections (b)(1)-(9). 11 U.S.C. § 503(b) (emphasis added).

A fundamental canon of statutory construction dictates that because "including" is defined by the Bankruptcy Code, it must be given that meaning. *Cf. Asgrow*, 513 U.S. at 187 ("When terms used in a statute are undefined, we give them their ordinary meaning."). The term "including," when defined in the Code, is "not limiting." 11 U.S.C. § 102(3). Therefore, expenses incurred by a creditor in making a substantial contribution in Chapter 7 case are not precluded from being compensated as administrative expenses just because Congress failed to list them in § 503(b)(1)-(9). *See In re Flo-Lizer*, 916 F.2d 363, 365 (6th Cir. 1990) (finding that "including" is "not restrictive" and thus, "the failure of Congress to expressly list interest as an administrative expense does not mean that it cannot be an administrative expense.").

A second principle of statutory construction requires courts to avoid interpretations that render words or phrases in a statute inoperative. *Hibbs,* 542 U.S. at 101. Viewed through that lens, the plain meaning of "including" supports reading § 503(b) broadly, so as not to limit the court's ability to award administrative expenses when circumstances warrant. *See id.* Petitioner erroneously argues that the explicit mention of bankruptcy Chapters 9 and 11 in § 503(b)(3)(D) implies that administrative expenses incurred by creditors under any other chapter are excluded; however, petitioner's construction completely disregards the word "including," where courts must give effect to every word of a statute. *See Duncan,* 533 U.S. at 174. A proper reading of § 503(b) gives effect to "including" by recognizing that the enumerated categories do not represent an exhaustive list and gives effect to § 503(b)(3)(D) by acknowledging creditor expenses *must* be allowed in Chapters 9 and 11, but discretion applies for the chapters not explicitly mentioned. *See Lexecon,* 523 U.S. at 35.

Furthermore, the non-exclusivity of reimbursable expenses under § 503(b), evidenced by the statute's plain language, means that administrative expense claims are "to be determined on a case-by-case basis." *In re Merry-Go-Round Enterprises, Inc.*, 180 F.3d 149, 156 (4th Cir. 1999). This is especially true where the statute contains no language expressly barring administrative expenses for a Chapter 7 creditor. 11 U.S.C. § 503(b)(3)(D). As explained by the *Connolly* court, "[n]owhere does the Act say… 'expenses incurred in making a substantial contribution in a case under Chapters 9 or 11, but not Chapter 7, may be allowed;' or, 'only the enumerated expenses shall be allowed.'" *In re Connolly N. Am., LLC*, 802 F.3d 810, 816 (6th Cir. 2015). Statutory construction begins by looking at the statutory language. *Id.* at 815. Where a statute does not include specific language on its face, that language should not be read in. *Bates v. United States*, 522 U.S. at 24. Therefore, where § 503(b)(3)(D) does not expressly exclude administrative expenses for Chapter 7 creditors, a court must refrain from reading in such an exclusion. *See id.* On the other hand, "including" is part of the statutory language, and because it is non-limiting, the statute must be read as giving courts discretion to decide what other administrative expenses may be "included" in § 503(b). *See Connolly*, 802 F.3d at 815. Appropriately considering only the expressed statutory language, § 503(b)(3)(D) does not act as a per se bar to the reimbursement of administrative expenses in a Chapter 7. *Id.*

Lastly, expenses incurred by a Chapter 7 creditor could be awarded under § 503(b)(1)(A) where those expenses were "actual, necessary costs and expenses of preserving the estate." 11 U.S.C. § 503(b)(1)(A). Again, this section makes use of the word "including," indicating that utilization of § 503(b)(1)(A) is not limited to the enumerated categories of subsections (i) and (ii). *See* 11 U.S.C. § 102(3) ("including" means "not limiting"). Therefore, where an overarching goal of the Bankruptcy Code is to maximize the value of the debtor estate, "necessary" expenses are

those that are essential to maximizing value. *See Toibb v. Radloff*, 501 U.S. 157, 163 (1991) (there exists a "general Code policy of maximizing the value of the bankruptcy estate). Here, Mr. Weinberg's expense of $25,000 preserved the estate by leading to a $75,000 maximization. *See id.* There is no evidence in the record that these funds would have been recovered if not for Mr. Weinberg's contribution, so they were necessary for preservation. *See id.* Therefore, Mr. Weinberg's expenses could be allowed under § 503(b)(1)(A), even if § 503(b)(3)(D) were to be misunderstood as a bar to his claim by ignoring fundamental principles of statutory construction. *See Connolly,* 802 F.3d at 815 (holding that § 503(b)(3)(D) is not a per se bar to allowing administrative expenses in Chapter 7 cases because reimbursement depends on a totality of the circumstances).

B. Congress intentionally formulated § 503(b) with flexibility sufficient to enable bankruptcy courts to grant administrative expenses in unforeseen circumstances.

The use of "including" in § 503(b) indicates that Congress understood the need to make the provision flexible where Congress was unable to anticipate every situation in which awarding administrative expenses would be warranted. *Connolly*, 802 F.3d at 816. ("[B]y using the term 'including' in the opening lines of the subsection, Congress built a mechanism into § 503(b) for bankruptcy courts to reimburse expenses not specifically mentioned in § 503(b)'s subsections."). Insisting, as petitioner does, that § 503(b)(3)(D) restricts reimbursement for administrative expenses to Chapter 9 and 11 cases is erroneous because it ignores the principle rule that a statute should be construed so that "no clause, sentence, or word shall be superfluous, void, or insignificant." *Duncan*, 533 U.S. at 174.

By first defining "including" in the Code as "not limiting" and then deliberately inserting that term into § 503(b), Congress was aware of how "including" would affect the provision. *See* 11 U.S.C. § 102(3). Blatantly ignoring Congress's intent, petitioner renders "including" void by

relying on the doctrine of *expressio unius est exclusio alterius*, to argue that the mention of Chapters 9 and 11 in § 503(b)(3)(D) was the intentional exclusion of reimbursement for administrative expenses in a Chapter 7 case. *See N.L.R.B. v. SW Gen., Inc.*, 137 S. Ct. 929, 940 (discussing *expressio unius est exclusio alterius*). However, Congress says what it means, and means what it says in a statute. *Conn. Nat'l Bank*, 503 U.S. at 253-54. Congress said "including," and it meant "including." *See id.* Congress did not say "administrative expenses are disallowed in a Chapter 7 case," indicating that Congress did not mean for the provision to indicate they are disallowed. *See id.* If Congress intended to prohibit awarding administrative expenses in Chapter 7 cases in an otherwise intentionally non-exhaustive statute, it could have done so. *Connolly*, 802 F.3d at 818.

Moreover, the express mention of Chapter 9 and 11, but not Chapter 7, in § 503(b)(3)(D) makes sense based on the characteristics of each chapter. *See id.* at 817. In both Chapter 9 and 11 of the Bankruptcy Code, the debtor remains in control of the estate. *See* § 941; *see also* § 1121(a). In contrast, in a Chapter 7 case, a trustee, "whose trust is for the benefit of creditors," is appointed. H.R.Rep. No. 95–595 at 89 (1978). An appointed trustee has a fiduciary duty to maximize the estate for the mutual benefit of the estate's creditors and will expend time and resources in fulfilling that duty. *See Connolly*, 802 F.3d at 817. Typically, where a trustee serves as a "bankruptcy watch-dog," looking out for fraud and misconduct, creditors need not expend their own time and money because their interests are being guarded. *Id.*

On the other hand, under a Chapter 9 or 11 case, there is no "watch-dog" and creditors fulfill the trustee's role, requiring them to expend resources much more frequently to preserve the estate. *Id.* More explicitly, "the Bankruptcy Act was designed in 1898 to give creditors control over the bankrupt's assets, which in equity belong to them." H.R.Rep. No. 95–595, 88-89 (1978). Thus, it was easily foreseeable by Congress that creditors under a Chapter 9 or 11 case would elect

to expend their own resources in preserving the estate for their future benefit. *Connolly*, 802 F.3d at 817. Conversely, because a trustee has control over preserving the estate in a Chapter 7 bankruptcy, it is rare that a creditor needs to play "watch-dog." *Id.* And because such circumstances are rare, although not non-existent, it is likely Congress did not contemplate such a scenario at the time of drafting. *See id.* What Congress did do, however, was inject § 503(b) with enough flexibility so that a bankruptcy court has discretion to decide whether the totality of the circumstances warrants awarding administrative expenses to Chapter 7 creditors. *Id.* at 816.

Congress deliberately drafted § 503(b) with enough flexibility to allow courts to determine whether administrative expenses are warranted on a case-by-case basis, the provision is not unlimited. *See id.* Statutory construction of § 503(b) is required to satisfy the overall goal of the Bankruptcy Code, which it to preserve the estate for the mutual benefit of its creditors. *See, e.g.*, *Suplee v. Bethlehem Steel Corp. (In re Bethlehem Steel Corp.)*, 479 F.3d 167, 172 (2nd Cir. 2007). While one way to ensure preservation is to keep administrative expenses to a minimum, but that is not the only way. *See id.* Both § 503(b)(3)(B) and § 503(b)(3)(D) have built-in mechanisms that ensure preservation. *See* 11 U.S.C. §§ 503(b)(3)(B), (D).

For example, § 503(b)(3)(B) authorizes administrative expenses incurred by a creditor who recovers property "transferred or concealed by the debtor," conditioned on court approval of that recovery. 11 U.S.C. § 503(b)(3)(B). Requiring court approval before recovery is attempted, allows the court to assess whether the property at issue outweighs the recovery cost. *See id.* If yes, the property is recovered and the amount in excess of the recovery cost is added to the value of the estate. *See id.* This provision illustrates yet another way Congress carefully crafted § 503 to enable bankruptcy courts to exercise discretion in awarding administrative expenses while ensuring preservation of the estate. *See id.* Contrary to petitioner's mistaken insistence that Congress

intended this as the only provision for use by Chapter 7 creditors, § 503(b)(3)(B) applies only to actual recovery of estate property. 11 U.S.C. § 503(b)(3)(B). In a situation like Mr. Weinberg's, in which he provided information that eventually led to the recovery of property, but the property was not recovered by Mr. Weinberg, § 503(b)(3)(B) is not appropriate. R. at 7.

Section 503(b)(3)(D)'s preservation mechanism is that it requires a "substantial contribution," which has the effect of offsetting expenses incurred by the creditor. 11 U.S.C. § 503(b)(3)(D). In the case at bar, Mr. Weinberg's expenditures led to the recovery of a substantial $75,000, rendering the "substantial contribution" preservation mechanism more appropriate for determining whether the expenses should be granted, than the mechanism employed by § 503(b)(3)(B). *Id.* Even if Mr. Weinberg's reasonable $25,000 expense were awarded by the court, a still substantial $50,000 in value would be added to the estate for the mutual benefit of its creditors. *Id.* To deny Mr. Weinberg administrative expenses because he is a Chapter 7 creditor, despite the tremendous benefit those expenses produced, is to construct § 503(b) in a manner not intended by Congress. *See Connolly*, 802 F.3d at 816. As illustrated by § 503(b)(3)(B) and § 503(b)(3)(D), Congress designed various mechanism to ensure preservation of the estate, understanding that a plethora of unique circumstances would arise, and bankruptcy courts would need a way to exercise discretion in granting administrative expenses while fulfilling the overall goal of bankruptcy. *See* 11 U.S.C. §§ 503(b)(3)(B), (D).

Overall, where the legislative purpose of the Bankruptcy Code is to prevent destruction of the estate so that equitable distribution of assets to estate creditors is possible, rejecting Mr. Weinberg's claim for $25,000 that resulted in the addition of $75,000 to the estate would fly in the face of that purpose. *See* H.R.Rep. No. 595, 95th Cong., 1st Sess. 340 (1977) (explaining the purpose of the Bankruptcy Code). Congress intentionally injected flexibility into § 503(b) to enable

bankruptcy courts to award reimbursement where warranted. *Connolly*, 802 F.3d at 816. Here, where $25,000 resulted in uncovering information that ultimately enabled the trustee to recover $75,000 for the estate, Mr. Weinberg's expenses were actual, necessary, and reasonable, and reimbursement should not be barred by interpreting § 503(b) in a way that ignores congressional intent. *See id.* ("Congress anticipated that bankruptcy courts would encounter a variety of administrative expenses and circumstances warranting reimbursement, which it could then evaluate on a case-by-case basis depending on the specific facts of the case, the benefit conferred upon the bankruptcy estate and its creditors, and whether the expenses at issue were actual, necessary, and reasonable.").

C. Interest in equity and encouraging creditor participation for the mutual benefit of the estate justifies interpreting § 503(b) to allow administrative expenses in Chapter 7 cases for public policy reasons.

Interpreting § 503(b) to allow for reimbursement of administrative expenses in Chapter 7 cases promotes equity principles and encourages creditors to work toward the mutual benefit of the estate. Repeatedly, this Court has held that bankruptcy courts are courts of equity. *See, e.g.*, *Curtis v. Loether*, 405 U.S. 189, 195 (1974); *Bank of Marin v. England*, 385 U.S. 99, 103 (1966); *Local Loan Co. v. Hunt*, 292 U.S. 234, 240 (1934). Basic principles of equity favor equality, considering what ought to be done in each situation. *Matter of Tucson Yellow Cab Co., Inc.*, 789 F.2d 701, 704 (9th Cir. 1986). Equitable outcomes for all creditors also depend on those creditors being encouraged, or at the very least, not discouraged, from expending resources that lead to substantial estate contributions. *See Connolly*, 802 F.3d at 818 (not awarding administrative expenses to Chapter 7 creditors would discourage them from participating in bankruptcy cases).

Bankruptcy courts must have the ability to assess individual situations and to issue equitable rulings, particularly where preservation of the estate is involved. *See Matter of Tucson*, 789

F.2d at 704. Interpreting § 503(b)(3)(D) as disallowing administrative expenses for Chapter 7 creditors would signal to creditors that even where bankruptcy courts are specifically designed to foster equity, they are ineffective at doing so, eroding faith in the ability of bankruptcy courts to protect creditors. *See Connolly*, 802 F.3d at 819 ("Denying creditors reimbursement of administrative expenses in [Chapter 7 cases] … impugn[s] the fundamental notion of bankruptcy as equitable relief."). The fact that nearly one million bankruptcy cases are filed in bankruptcy courts each year makes it undeniably important that faith in the institutions' ability to deal equitably is preserved. *See* Gebbia, *supra*, at 598 n. 44. To that end, § 503(b) must be interpreted in a way that allows bankruptcy courts to make equitable decisions.

Section 503(b) should also operate as a tool bankruptcy courts can use to encourage creditor participation in bankruptcy proceedings. Generally, in a Chapter 7 case, awards for administrative expenses outside of those made by the trustee are not necessary, as the trustee is entrusted with maximizing the estate. *Connolly*, 802 F.3d *at* 817. However, in rare circumstances, Chapter 7 creditors will contribute substantially to the estate where a trustee falls short. *See id.* at 813. For example, in *Connolly*, a significant amount was recovered for the estate only after a Chapter 7 creditor brought a successful motion for the removal of a grossly negligent trustee. *Id.* at 819. Similarly, in the case at hand, were it not for Mr. Weinberg's contribution, the estate would consist of $75,000 less for creditors.[5] R. at 7. These examples illustrate situations where the expected process fails, and the preservation of the estate depends on creditors. *See, e.g.*, *id.*; *see also Connolly*, 802 F.3d at 819.

[5] The trustee became aware of Mr. Clemons's fraudulent transfer only after Mr. Weinberg turned over information uncovered by a creditors' examination run by Mr. Weinberg's attorney during his attempt to collect on the personal guarantee Mr. Clemons had made on the $450,000 loan.

To deny reimbursement for administrative expenses where an extenuating circumstance exist, such as in the examples above, discourages creditors from participating in the bankruptcy process—ultimately inhibiting its potential success. *Connolly*, 802 F.3d at 818. Additionally, denying administrative expenses where an individual creditor's efforts benefitted all the other creditors, too, is fundamentally unfair. *See id.* at 819. Therefore, because bankruptcy is so prevalent, there is a significant interest in ensuring cases are successful. *See* Gebbia, *supra*, at 598 n. 44. Where § 503(b) has the potential to be instrumental in promoting success, it must be construed to allow reimbursement of administrative expenses for Chapter 7 creditors in an attempt to preserve faith in bankruptcy courts as courts of equity, avoid discouraging participation in the bankruptcy process, and ensure fundamental notions of fairness are promoted. *See Connolly*, 802 F.3d 819.

CONCLUSION

The Trustee seeks to strip Mr. Weinberg of the protection to which he is entitled under the Bankruptcy Code, as well as force Mr. Weinberg to bear the costs of his own labor, the fruits of which will be enjoyed by other creditors.

When Mr. Weinberg's interests were put in jeopardy by the Debtor, he sought to protect those interests through lawful and judicially enforceable measures—he took possession of the collateral securing his loan to the debtor and passively retained it. Now the Trustee seeks to punish Mr. Weinberg for his lawful actions by asking this Court to read § 362(a) to require Mr. Weinberg to automatically turnover the very thing protecting him. But the plain language of § 362(a)(3) requires no such action, instead it is on the Trustee to pursue the collateral in Mr. Weinberg's possession through the appropriate judicial processes so as to ensure Mr. Weinberg's interests are adequately protected.

Mr. Weinberg's pursuit for the protection of his own interests also led to the protection of the interests of his fellow creditors through the performance of a function with which the Trustee was entrusted. Yet the Trustee now asks this Court to send Mr. Weinberg away with nothing for his efforts based on an erroneous reading of the Bankruptcy Code. However, § 503(a) cannot be constrained to the Trustee's narrow view because of the non-limiting words of the Bankruptcy Code itself and the equitable principles guiding every bankruptcy proceeding.

Because Mr. Weinberg's passive retention did not violate the automatic stay, and because administrative expense claims are permissible in chapter 7 cases, this Court should affirm the judgments of the Thirteenth Circuit.

Team R. 6
Counsel of Record

APPENDIX A

11 U.S.C. § 102 (2012).

Rules of construction.

In this title--

(1) [omitted]

(2) [omitted]

(3) "includes" and "including" are not limiting;

(4) [omitted]

(5) [omitted]

(6) [omitted]

(7) [omitted]

(8) [omitted]

(9) [omitted]

APPENDIX B

11 U.S.C. § 361 (2012).

Adequate protection.

When adequate protection is required under section 362, 363, or 364 of this title of an interest of an entity in property, such adequate protection may be provided by--

(1) requiring the trustee to make a cash payment or periodic cash payments to such entity, to the extent that the stay under section 362 of this title, use, sale, or lease under section 363 of this title, or any grant of a lien under section 364 of this title results in a decrease in the value of such entity's interest in such property;

(2) providing to such entity an additional or replacement lien to the extent that such stay, use, sale, lease, or grant results in a decrease in the value of such entity's interest in such property; or

(3) granting such other relief, other than entitling such entity to compensation allowable under section 503(b)(1) of this title as an administrative expense, as will result in the realization by such entity of the indubitable equivalent of such entity's interest in such property.

APPENDIX C

11 U.S.C. § 362(a) (2012).

Automatic stay.

(a) Except as provided in subsection (b) of this section, a petition filed under section 301, 302, or 303 of this title, or an application filed under section 5(a)(3) of the Securities Investor Protection Act of 1970, operates as a stay, applicable to all entities, of--

(a)(1) [omitted]

(a)(2) [omitted]

(a)(3) any act to obtain possession of property of the estate or of property from the estate or to exercise control over property of the estate;

(a)(4) [omitted]

(a)(5) [omitted]

(a)(6) [omitted]

(a)(7) [omitted]

(a)(8) [omitted]

APPENDIX D

11 U.S.C. § 362(k) (2012).

Automatic stay.

(k)(1) Except as provided in paragraph (2), an individual injured by any willful violation of a stay provided by this section shall recover actual damages, including costs and attorneys' fees, and, in appropriate circumstances, may recover punitive damages.

(k)(2) [omitted]

APPENDIX E

11 U.S.C. § 363(b) (2012).

Use, sale, or lease of property.

(b)(1) The trustee, after notice and a hearing, may use, sell, or lease, other than in the ordinary course of business, property of the estate, except that if the debtor in connection with offering a product or a service discloses to an individual a policy prohibiting the transfer of personally identifiable information about individuals to persons that are not affiliated with the debtor and if such policy is in effect on the date of the commencement of the case, then the trustee may not sell or lease personally identifiable information to any person unless--

(b)(1)(A) such sale or such lease is consistent with such policy; or

(b)(1)(B) after appointment of a consumer privacy ombudsman in accordance with section 332, and after notice and a hearing, the court approves such sale or such lease--

(b)(1)(B)(i) giving due consideration to the facts, circumstances, and conditions of such sale or such lease; and

(b)(1)(B)(ii) finding that no showing was made that such sale or such lease would violate applicable nonbankruptcy law.

(b)(2) [omitted]

APPENDIX F

11 U.S.C. § 363(e) (2012).

Use, sale, or lease of property.

(e) Notwithstanding any other provision of this section, at any time, on request of an entity that has an interest in property used, sold, or leased, or proposed to be used, sold, or leased, by the trustee, the court, with or without a hearing, shall prohibit or condition such use, sale, or lease as is necessary to provide adequate protection of such interest. This subsection also applies to property that is subject to any unexpired lease of personal property (to the exclusion of such property being subject to an order to grant relief from the stay under section 362).

APPENDIX G

11 U.S.C. § 503(a) (2012).

Allowance of administrative expenses.

(a) An entity may timely file a request for payment of an administrative expense, or may tardily file such request if permitted by the court for cause.

APPENDIX H

11 U.S.C. § 503(b) (2012).

Allowance of administrative expenses.

(b) After notice and a hearing, there shall be allowed administrative expenses, other than claims allowed under section 502(f) of this title, including--

(b)(1)(A) the actual, necessary costs and expenses of preserving the estate including--

(b)(1)(A)(i) wages, salaries, and commissions for services rendered after the commencement of the case; and

(b)(1)(A)(ii) wages and benefits awarded pursuant to a judicial proceeding or a proceeding of the National Labor Relations Board as back pay attributable to any period of time occurring after commencement of the case under this title, as a result of a violation of Federal or State law by the debtor, without regard to the time of the occurrence of unlawful conduct on which such award is based or to whether any services were rendered, if the court determines that payment of wages and benefits by reason of the operation of this clause will not substantially increase the probability of layoff or termination of current employees, or of nonpayment of domestic support obligations, during the case under this title;

(b)(1)(B) any tax--

(b)(1)(B)(i) incurred by the estate, whether secured or unsecured, including property taxes for which liability is in rem, in personam, or both, except a tax of a kind specified in section 507(a)(8) of this title; or

(b)(1)(B)(ii) attributable to an excessive allowance of a tentative carryback adjustment that the estate received, whether the taxable year to which such adjustment relates ended before or after the commencement of the case;

(b)(1)(C) any fine, penalty, or reduction in credit relating to a tax of a kind specified in subparagraph (B) of this paragraph; and

(b)(1)(D) notwithstanding the requirements of subsection (a), a governmental unit shall not be required to file a request for the payment of an expense described in subparagraph (B) or (C), as a condition of its being an allowed administrative expense;

(b)(2) compensation and reimbursement awarded under section 330(a) of this title;

(b)(3) the actual, necessary expenses, other than compensation and reimbursement specified in paragraph (4) of this subsection, incurred by--

(b)(3)(A) a creditor that files a petition under section 303 of this title;

(b)(3)(B) a creditor that recovers, after the court's approval, for the benefit of the estate any property transferred or concealed by the debtor;

(b)(3)(C) a creditor in connection with the prosecution of a criminal offense relating to the case or to the business or property of the debtor;

(b)(3)(D) a creditor, an indenture trustee, an equity security holder, or a committee representing creditors or equity security holders other than a committee appointed under section 1102 of this title, in making a substantial contribution in a case under chapter 9 or 11 of this title;

(b)(3)(E) a custodian superseded under section 543 of this title, and compensation for the services of such custodian; or

(b)(3)(F) a member of a committee appointed under section 1102 of this title, if such expenses are incurred in the performance of the duties of such committee;

(b)(4) reasonable compensation for professional services rendered by an attorney or an accountant of an entity whose expense is allowable under subparagraph (A), (B), (C), (D), or (E) of paragraph (3) of this subsection, based on the time, the nature, the extent, and the value of such

services, and the cost of comparable services other than in a case under this title, and reimbursement for actual, necessary expenses incurred by such attorney or accountant;

(b)(5) reasonable compensation for services rendered by an indenture trustee in making a substantial contribution in a case under chapter 9 or 11 of this title, based on the time, the nature, the extent, and the value of such services, and the cost of comparable services other than in a case under this title;

(b)(6) the fees and mileage payable under chapter 119 of title 28;

(b)(7) with respect to a nonresidential real property lease previously assumed under section 365, and subsequently rejected, a sum equal to all monetary obligations due, excluding those arising from or relating to a failure to operate or a penalty provision, for the period of 2 years following the later of the rejection date or the date of actual turnover of the premises, without reduction or setoff for any reason whatsoever except for sums actually received or to be received from an entity other than the debtor, and the claim for remaining sums due for the balance of the term of the lease shall be a claim under section 502(b)(6);

(b)(8) the actual, necessary costs and expenses of closing a health care business incurred by a trustee or by a Federal agency (as defined in section 551(1) of title 5) or a department or agency of a State or political subdivision thereof, including any cost or expense incurred--

(b)(8)(A) in disposing of patient records in accordance with section 351; or

(b)(8)(B) in connection with transferring patients from the health care business that is in the process of being closed to another health care business; and

(b)(9) the value of any goods received by the debtor within 20 days before the date of commencement of a case under this title in which the goods have been sold to the debtor in the ordinary course of such debtor's business.

APPENDIX I

11 U.S.C. § 507(a) (2012).

Priorities.

(a) The following expenses and claims have priority in the following order:

(a)(1) [omitted]

(a)(2) Second, administrative expenses allowed under section 503(b) of this title, unsecured claims of any Federal reserve bank related to loans made through programs or facilities authorized under section 13(3) of the Federal Reserve Act (12 U.S.C. 343), and any fees and charges assessed against the estate under chapter 123 of title 28.

(a)(3) [omitted]

(a)(4) [omitted]

(a)(5) [omitted]

(a)(6) [omitted]

(a)(7) [omitted]

(a)(8) [omitted]

(a)(9) [omitted]

(a)(10) [omitted]

APPENDIX J

11 U.S.C. § 542(a) (2012).

Turnover of property to the estate.

(a) Except as provided in subsection (c) or (d) of this section, an entity, other than a custodian, in possession, custody, or control, during the case, of property that the trustee may use, sell, or lease under section 363 of this title, or that the debtor may exempt under section 522 of this title, shall deliver to the trustee, and account for, such property or the value of such property, unless such property is of inconsequential value or benefit to the estate.

APPENDIX K

11 U.S.C. § 548 (2012).

Fraudulent transfers and obligations.

(a)(1) The trustee may avoid any transfer (including any transfer to or for the benefit of an insider under an employment contract) of an interest of the debtor in property, or any obligation (including any obligation to or for the benefit of an insider under an employment contract) incurred by the debtor, that was made or incurred on or within 2 years before the date of the filing of the petition, if the debtor voluntarily or involuntarily--

(a)(1)(A) made such transfer or incurred such obligation with actual intent to hinder, delay, or defraud any entity to which the debtor was or became, on or after the date that such transfer was made or such obligation was incurred, indebted; or

(a)(1)(B)(i) received less than a reasonably equivalent value in exchange for such transfer or obligation; and

(a)(1)(B)(ii)(I) was insolvent on the date that such transfer was made or such obligation was incurred, or became insolvent as a result of such transfer or obligation;

(a)(1)(B)(ii)(II) was engaged in business or a transaction, or was about to engage in business or a transaction, for which any property remaining with the debtor was an unreasonably small capital;

(a)(1)(B)(ii)(III) intended to incur, or believed that the debtor would incur, debts that would be beyond the debtor's ability to pay as such debts matured; or

(a)(1)(B)(ii)(IV) made such transfer to or for the benefit of an insider, or incurred such obligation to or for the benefit of an insider, under an employment contract and not in the ordinary course of business.

(a)(2) A transfer of a charitable contribution to a qualified religious or charitable entity or organization shall not be considered to be a transfer covered under paragraph (1)(B) in any case in which--

(a)(2)(A) the amount of that contribution does not exceed 15 percent of the gross annual income of the debtor for the year in which the transfer of the contribution is made; or

(a)(2)(B) the contribution made by a debtor exceeded the percentage amount of gross annual income specified in subparagraph (A), if the transfer was consistent with the practices of the debtor in making charitable contributions.

(b) The trustee of a partnership debtor may avoid any transfer of an interest of the debtor in property, or any obligation incurred by the debtor, that was made or incurred on or within 2 years before the date of the filing of the petition, to a general partner in the debtor, if the debtor was insolvent on the date such transfer was made or such obligation was incurred, or became insolvent as a result of such transfer or obligation.

(c) [omitted]

(d)(1) [omitted]

APPENDIX L

Fed. R. Bankr. P. 7001(1) (2012).

Scope of Rules of Part.

An adversary proceeding is governed by the rules of this Part VII. The following are adversary proceedings:

(1) a proceeding to recover money or property, other than a proceeding to compel the debtor to deliver property to the trustee, or a proceeding under § 554(b) or § 725 of the Code, Rule 2017, or Rule 6002;